

5.2 THE COMPETITIVE MARKET



C1.1-2.3; N1.1-2.3; IT1.1-2.2; WO1.1-2.3; LP1.1-1.3; PS1.1-2.3.



1e, 1h, 1j, 2b, 2c, 3a

This section of the specification considers the role of demand and supply in the determination of price in competitive markets and it looks at the impact of price elasticity on revenue. This section also looks at issues such as costs, revenue, productivity and resource rewards. It considers the impact that such issues have upon a business operating within a competitive market, and in turn, how the profitability of such a business is likely to be affected.

(a) Competitive markets

- Explain what is meant by a competitive market.
- Understand the implications for business of operating in competitive markets.

(b) The demand curve

- Explain what is meant by demand.
- Construct an individual demand curve and a market demand curve from consumer data.
- Explain shifts of, and movements along, the demand curve.

The supply curve

- Explain what is meant by supply.
- Construct an individual firm's supply curve and a market supply curve from production data.
- Explain shifts of, and movements along, the supply curve.

Price elasticity

- Understand the meaning of price elasticity.
- Complete simple calculations of price elasticity of demand and price elasticity of supply.
- Understand and construct graphs to illustrate price elasticity.
- Understand the effects of price elasticity on businesses operating in competitive markets.
- Understand the implications of price elasticity of demand for revenue.

Determination of price in competitive markets

- Understand how the inter-relationship between market forces determines equilibrium price.
- Understand the impact of competition on price.
- Explain the role of consumer sovereignty, and the role of advertising and product differentiation in price determination.
- Explain the effects of taxes and subsidies on price and quantity in competitive markets.
- Explain the effects of maximum and minimum prices.

Costs

- Identify and calculate total and average, fixed and variable costs.
- Construct and interpret total fixed, variable and average cost curves.

Revenue

- Identify and calculate total and average revenues.
- Construct and interpret total and average revenue curves.

Profits

- Identify and calculate profit.
- Construct and interpret a break-even chart.
- Identify business objectives, including profit.
- Explain the impact of competitive pressures on price and profit.
- Understand the relationship between business objectives and stakeholder interests.

Productivity

- Understand what is meant by productivity.
- Explain the difference between production and productivity.
- Explain how productivity may be increased by the specialisation of labour, the substitution of capital for labour and worker involvement.
- Appreciate the impact of competitive forces on the need for increased productivity.
- Explain internal and external economies and diseconomies of scale.
- Understand the implications and effects of internal and external economies and diseconomies of scale.

Rewards for labour

- Identify the differences between gross and net, and real and nominal income.
- Understand wage determination using simple demand and supply analysis.
- Understand wage differentials within and between occupations.
- Appreciate the advantages and disadvantages of a national minimum wage.
- Understand the implications and effects of non-monetary rewards for labour.